

Depending on how serious you want to get about this, the annual meeting is your best chance to develop useful contacts.

It doesn't always happen this way, but occasionally I sense something about a corporate representative that gives me a feeling about the company's prospects. When I went to see Tandon, a company I dismissed in the first place on account of its being in the hot floppy-disk industry, I had an interesting encounter with the investor relations man. He was as polite, well-scrubbed, and well-spoken as any other investor relations person. However, when I looked him up in the Tandon proxy statement (among other things, proxy statements tell you how many shares are owned by the various corporate officers and directors, and how much those people are paid), I discovered that between his Tandon stock options and direct stock purchases, this man, who had not been with the company very long, was worth about \$20 million.

Somehow, that this average person was so well-off thanks to Tandon seemed too good to be true. The stock already had gone up eightfold into high p/e euphoria. Thinking about this for a minute, I realized that if Tandon doubled again, the investor relations man would be worth \$40 million. For me to make money in the stock, he would have to get twice as rich as he was already, and already he was many times richer than I figured he should be. The whole setup just wasn't realistic. There were other reasons I declined to invest, but the interview was the kicker. The stock dropped from \$35¼ to \$1¾, adjusted for splits.

I had identical reservations about the founder and principal shareholder in Televideo, whom I'd met at a group luncheon in Boston. Already he owned \$100 million worth of shares in a company with a high p/e ratio, and in the very competitive computer peripherals industry. I thought to myself: If I make money in Televideo, this guy is going to be worth \$200 million. That didn't seem realistic, either. I declined to invest, and that stock went from \$40½ in 1983 to \$1 in 1987.

I could never prove this scientifically, but if you can't imagine how a company representative could ever get that rich, chances are you're right.

KICKING THE TIRES

From the time Carolyn discovered L'eggs in the supermarket, and I discovered Taco Bell via the burrito, I've continued to believe that wandering through stores and tasting things is a fundamental investment strategy. It's certainly no substitute for asking key questions, as the Bildner's case proves. But when you're developing a story, it's reassuring to be able to check out the practical end of it.